

Feb/March/2022/variant 12

1-A:

A: W and X represent the points on the production possibility curve, that denote the potential.

Operating on the potential represents that all available resources are used, that is, there is full employment of resources, this is why, A is the answer.

B: Although W and X represent potential, Z represents "unattainable combination", the significance of which is that, this point represents scarcity as this output combination cannot be produced using existing resources.

C: Here, Y represents actual that represents under-utilization or unemployment of resources, this is why this becomes incorrect.

D: Z represents unattainable point (point outside the PPC) whereas, Y represents actual, or in other words, point inside the PPC. This is why, this becomes incorrect.

2-C:

A- A normative action is not based on facts.

B- Market forces describe the interplay between supply and demand in a market economy. while market forces may influence economic outcomes and policies, they do not themselves dictate what ought to be done . **Normative economic actions consider values and opinions about what policies and outcomes are desirable, in addition to considering market forces.**

C- Normative economics deals with **value judgements and opinions about economic policies, goals and outcomes and is concerned with determining what economic policies or actions ought to be taken** in order to achieve desirable outcomes such as economic efficiency, equity and welfare, which is why C becomes correct.

D- Price changes is one factor that may influence economic policies ,but they do not determine what ought to be done.

3-A:

The function of money that overcomes the problem of double coincidence of wants in an economy is the medium of exchange.

The **lack of double coincidence of wants** refers to a situation where two parties have goods or services that the other desires, but they are unable to trade with each other because they do not value each other's goods or services equally. Money, as a medium of exchange, allows individuals to trade with each other by providing a common medium of exchange that is widely accepted in the economy.

Option A, medium of exchange, is the correct answer because it allows for the direct exchange of goods and services without the need for a double coincidence of wants. Money, as a medium of exchange, solves the barter's problem of "lack of double coincidence of wants" as money has separated the acts of sale and purchases. You can sell goods for money to whosoever wants it and with this money you can buy goods from whosoever wants to sell them.

Option B, standard of deferred payments, refers to the use of money as a means of paying debts in the future, such as loans, but does not necessarily address the problem of double coincidence of wants.

Option C, store of value, refers to the function of money as a means of holding wealth over time and protecting it against inflation or other economic risks, but it also does not directly address the problem of double coincidence of wants.

Option D, unit of account, refers to the use of money as a standard measure of value for goods and services, but it does not directly overcome the problem of double coincidence of wants either

4-B:

A: Here the opportunity cost ratio is **1 tonne of wheat:40 tonnes of rice**, this means that, to produce one tonne of wheat, 40 tonnes of rice will have to be foregone.

B: Here the opportunity cost ratio is **1 tonne of wheat: 10 tonnes of rice (40/4)**, this means that, to produce one tonne of wheat, 10 tonnes of rice will have to be foregone. This is the lowest opportunity cost ratio, this is why, this option is correct.

C - The opportunity cost ratio is **1 tonne of wheat : 13 tonnes of rice (80/6)**, which is not the lowest either.

D- The opportunity cost ratio is **1 tonne of wheat: 20 tonnes of rice(120/6)**, which is not the lowest either.

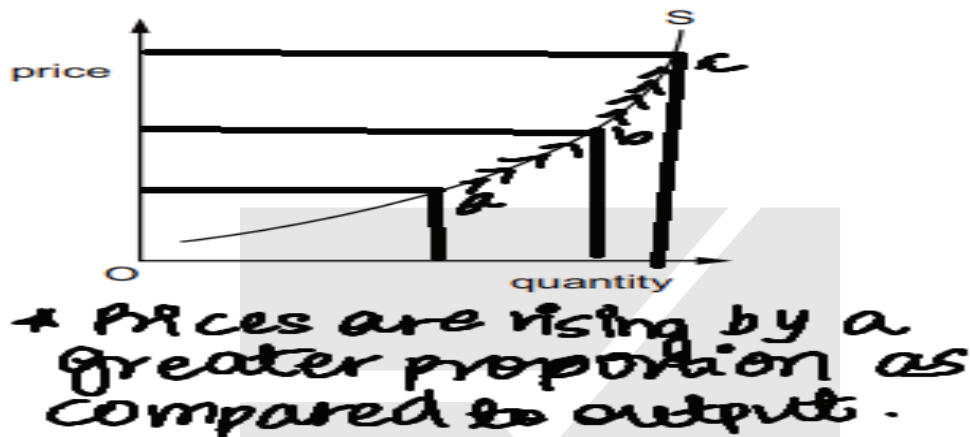
5-D:

D) The law of supply states that as the price of a good increases, the quantity supplied of that good also increases, when all other factors are held constant. However, the supply curve can slope upward if the cost of producing additional units of the good also increases as output increases. In the case of chicken, the cost of producing additional units can increase as farmers must invest in additional resources such as land, feed, labor, and equipment. This can lead to diminishing returns and higher costs per unit of output. Therefore, as the price of chicken increases, farmers are willing to supply more but at a higher cost per unit, leading to an upward sloping supply curve. **This is why, key D becomes correct.**

Option A is incorrect because an increase in demand will lead to an increase in the equilibrium price and quantity, not necessarily a rise in supply. And above all, there is no shift in the supply curve being shown.

Option B is incorrect because if productivity rose, output would have increased by a greater proportion than price.

Option C is also incorrect because if increased production leads to a reduction in costs, then prices would not have increased at a faster than output.



6-B:

Provision of subsidies that is a financial incentive: a cash or a grant payment given by the government to the producer will reduce their cost of production, encouraging them to increase their supply from S1 to S3

Secondly, increase in the price of train and bus journeys in India will lead to a rise in demand for cars, that is a substitute, since there is a positive relationship between price of one good and demand for another in case of a substitute, causing the demand curve to shift rightwards from D1 to D3.

This is how a new equilibrium will be achieved from X to B

This is why B will be the answer.

7-D:

➔ **Ceteris paribus involves keeping all other factors constant, and taking one into isolation(price factor)**

A, B, C: Consumer's tastes and preferences, their incomes, the price of fresh fruit are all other factors that will influence demand, which are required to remain constant.

D: The price of the good, that is ice cream, is not required to be same. Instead, it can change. This is why, this becomes correct. **Price factor does not result in a shift; instead, it brings about a movement along the "supply-curve"**

8-C

A: XED does not divide the change in demand for X with a change in price of Y, instead it is the **percentage change** in the demand for good X divided by the **percentage change** in price of Y.

B: This does not divide the percentage change in the price of X by the change in the demand for Y.

C: This is correct as it is the percentage change in demand for good X divided by the percentage change in the price for Y.

D: This is incorrect since we are asked about the cross elasticity of demand for good X in terms of Y, rather than XED for good Y in terms of X.

9-B:

A: When the government removes price controls, the price mechanism is allowed to work freely, thus making this incorrect.

B: When the preferences are for public goods, in the case of which there is a free rider problem, which means there is no mechanism to charge prices for them, price mechanism will be ineffective in determining resource allocation, thus making this correct.

C: Even when the supply of goods is limited, price mechanism may still be effective in determining resource allocation of scarce goods.

D: When there is a redistribution of income, the demand is likely to rise for goods and services, this means that, the price will rise, and the price mechanism will be used to meet these consumer preferences.

10- A:

A- The value of +1.5 represents elastic supply. This represents a situation whereby the firm has available stocks of raw materials and components **since this is a factor influencing PES**, helping to respond easily to changes in demand, making this correct.

B- The fact that the firm has no excess capacity represents the situation of PES being perfectly inelastic, that is, when $PES=0$

C- The firm operating in a competitive market is a feature of elastic demand and not elastic supply

D- This is incorrect, because a rise in price by 10% brings about an extension in "quantity supplied by 15%", **this means that the TR rises by more than 15%.**

11-C

When price increases, and alongside which, there is a rise in quantity demanded, a situation of “going against the law of demand is presented”

A)Consumers spending a greater proportion of their disposable income on the good represents “elastic demand”, in the case of which, the law of demand will function properly , as a rise in price brings about a contraction in qty demanded by a relatively higher percentage .

B)Complements are jointly demanded goods that are used along with each other ;the demand for one good is interconnected to one another. There is a negative relationship between price of one good and the quantity of another in case of complements ,for e.g. :if the price of car increases ,the quantity demanded of car contracts ,apart from which the qty demand for petrol decreases. **This is reflective of the factor ‘price of related goods’ which also affects demand.**

C)When high prices are reflective of a superior quality, and when impression of ‘value for money’ is given to customers, there may be a greater quantity demanded despite a rise in the price of the good ; therefore , C is the answer.

D)Substitutes are alternatives, options available in a competitive market that are used in place of each other .An increase in the price of a substitute ,for example :coke representing that substitute goods have become more expensive, will increase the demand for the good that is Pepsi , since there is a positive relationship between price of one good, and demand of another in case of substitutes .**This has nothing to do with how there may be an increase in quantity demanded along with a rise in the price of a good.**

12- A:

A- A decrease in consumers’ income will lead to an increase in demand for inferior goods as consumers would have now switched from normal goods, this is why the demand curve for inferior goods will shift rightwards, making this correct.

B- A decrease in income tax will increase disposable income, as a result of which, the demand for inferior goods will decrease , since there is a negative relationship between incomes and demand for inferior goods.

C- A decrease in price of a substitute good will lead to a decrease in demand for the good, as consumers now switch to substitutes, since there is a positive relationship between the price of one good and the demand for another in case of substitutes. **This is incorrect as inferior goods have a relationship with income, rather than changes in prices of “related goods”**

D- A decrease in the price of an inferior good will not cause a shift to the right, instead it will lead to a movement along the demand curve.

13: A:

Good X: The diagram represents a rise in supply and a subsequent fall in price for food X due to surpluses in the market.

Good Y: This diagram shows a rise in demand for good Y

A - When the price for good X falls, the demand for good Y rises, this is because of them being complements, as there is a negative relationship between the price of one good and the demand of another in case of complements. **This is why, key A, becomes correct.**

B- There is no relationship between goods in case of "de-merit goods"

C- In case of jointly-supplied goods, there would have been a relationship between (price of X) and (Supply of Y)

D- This is incorrect, as in case of substitutes, there is a positive relationship between the price of one good and qty demanded for another.

14-A:

The fact that government reduced budget deficit, is correct because the government chose to decrease public expenditure, which may have been higher to stimulate growth.

Initially, the Budget deficit was higher as part of expansionary fiscal policy, and now after reduction in public expenditure, the budget deficit is reduced, but it is still existing, which represents that there may not be a fall in economic growth.

This is why, A is the answer.

Option B cannot be the answer because a previously high spending on investment in the public sector does not represent a budget surplus and this is even not true since a decrease in investment in public sector would further increase the surplus rather than decreasing it. **Importantly, this can not be the case because it is mentioned that the government's financial position is not good.**

C and D cannot be the answer since a fall in consumer expenditure and public sector productivity would lead to a fall in economic growth.

15:C

Imposition of an effective maximum price, that is, a legally imposed price ceiling will decrease the price to the price line lower than the equilibrium price, at which consumers will be encouraged to extend their "quantity demanded" and producers would be signalled and dis-incentivized to contract their "quantity supplied", thereby resulting in shortages.

This is represented in option number C.

16-B:

B-The most likely reason for the National Library Board of Singapore to finance and manage state libraries is because libraries are merit goods.

Merit goods are goods or services that have positive externalities, meaning that they benefit not only the individuals who consume them but also the society as a whole. In the case of libraries, they provide access to information, knowledge, and culture, which are crucial for personal development and lifelong learning. They also contribute to the education of the population, facilitate research, and promote social cohesion. These positive externalities make **libraries a merit good**.

A- Public goods are non-excludable and non-rivalrous, meaning that once they are provided, no one can be excluded from benefiting from them, and one person's consumption does not diminish the availability of the good for others.

Libraries are rivalrous as due to " limited seating facility " the consumption by one individual will reduce the ability of others to consume. And they may exhibit excludability as membership fee can be charged , representing "private goods"

C- It may not necessarily be that the cost of providing library services will be greater in the case of private sector.

D- Due to the basic principle of scarcity always existing, the opportunity cost of libraries will never be zero ,as this will reduce the funds available with the government to spend in other areas, for example, on infrastructural development.

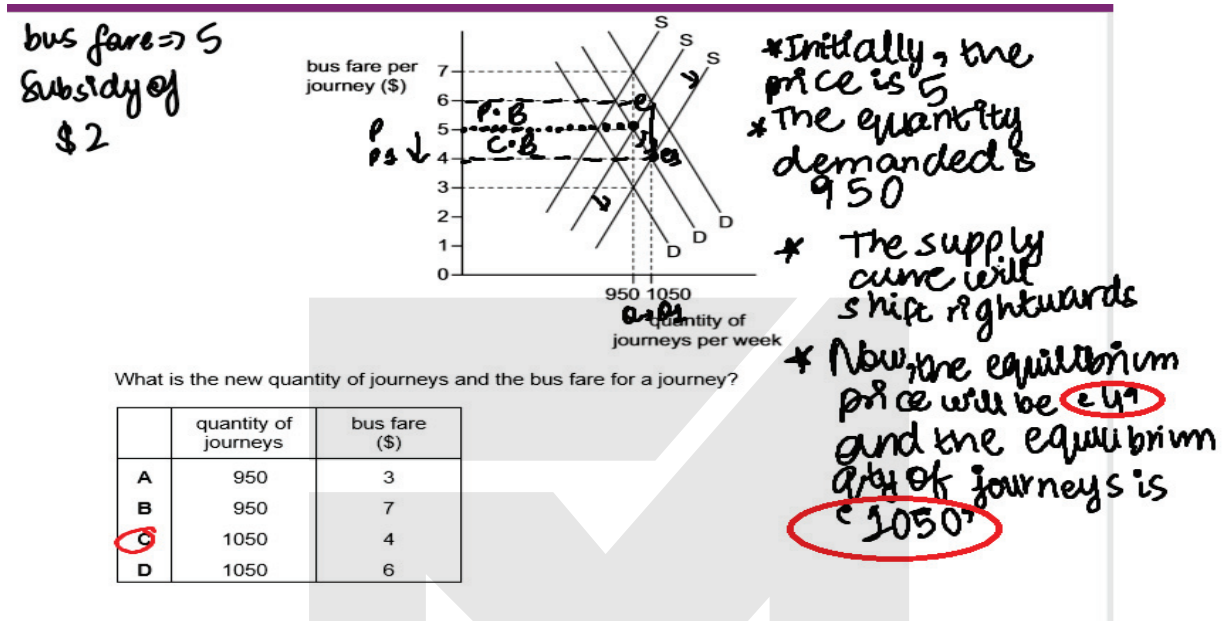
17-D:

A value added tax and specific tax are both examples of regressive taxes as in the case of them , the average rate of tax decreases upon a rise in income, and the marginal rate of tax is lesser than the average rate of tax, that is ,for every \$1 earned, less is taken up in tax, representing that they take up a higher proportion of incomes of the poor than the rich, impacting them more and putting a greater burden on them, therefore representing that these taxes will be "regressive"

Similarly, in case of **income taxes**, when the average rate of tax increases upon a rise in income, and the marginal rate of tax is greater than the average rate of tax, that is, for every extra \$1 earned, more is taken up in tax, this represents that they take up a greater proportion of incomes of rich than the poor; therefore , representing that these taxes will be progressive.

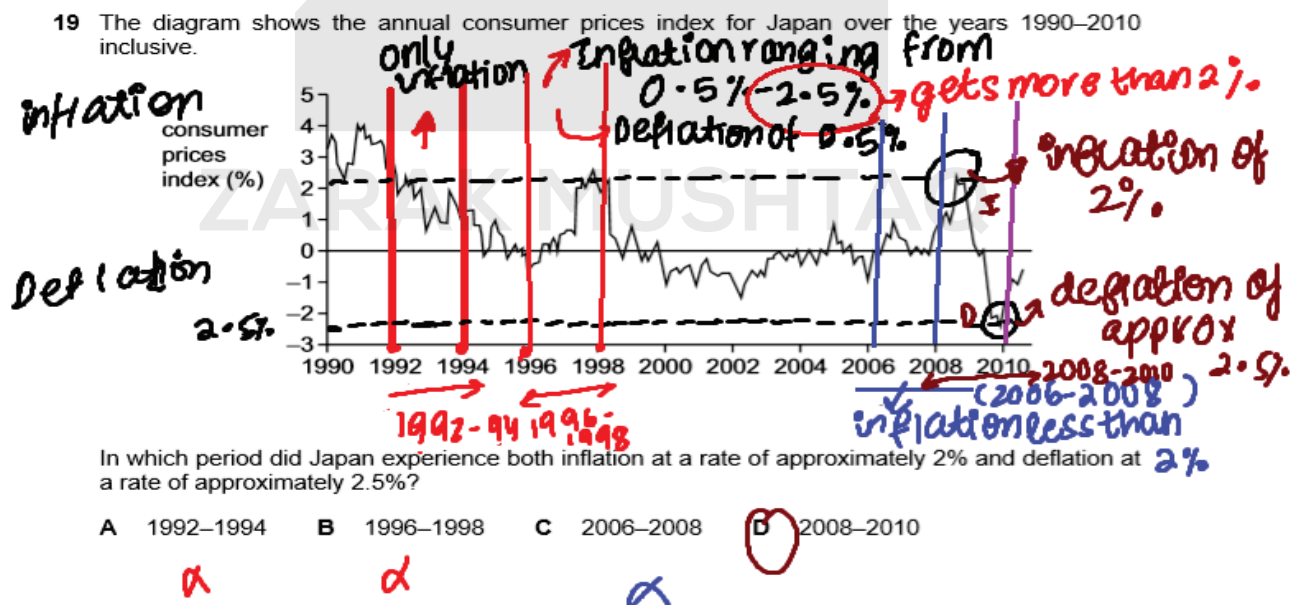
This is why option D will be the answer.

18-C



Because of subsidy per unit of 2 per journey, the supply curve shifts rightwards and the equilibrium price decreases from 5 to 4. Whereas, the equilibrium qty extends from 950 to 1050, this can be shown above as well. This is why, C is the answer.

19-D:



20-A:

After quota, that is a physical limit on imported goods is removed, the world price that was artificially inflated decreases, **this means that the prices received by domestic producers will decrease too.**

Secondly, if previously 500 cars were being imported, and after imposition of quota, when the import quantity was reduced to 200 cars, “**a situation of a rise in imports to the previous quantity will arise when the quota is removed**”. This means that, the revenue for domestic producers is likely to decrease, as now more of imports will be done.

This is why A is the answer.

21-B

A: When export prices rise and imported prices fall, the terms of trade will rise instead of fall.

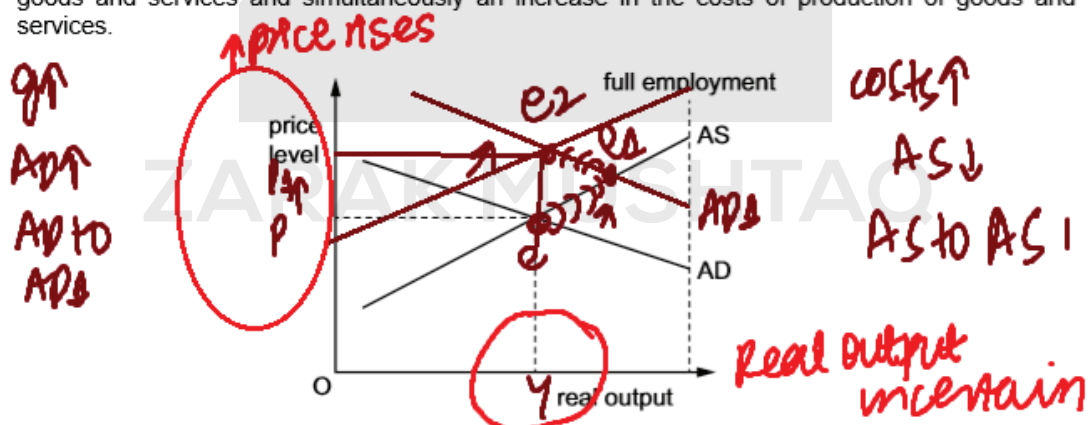
B: When Export prices rise **but import prices rise as well and that too by a relatively higher percentage**, then the terms of trade would fall, making this correct.

C: When Export prices rise and import prices remain unchanged, in this case as well, terms of trade will rise

D: When Export prices remain unchanged and import prices fall, this represents that terms of trade have improved.

22-D:

- 22 From the initial position of equilibrium shown, there is an increase in government expenditure on goods and services and simultaneously an increase in the costs of production of goods and services.



Upon a rise in government expenditure, the injections in the circular flow will increase, resulting in a rise in “Aggregate demand”. Whereas, a rise in costs of production will result in a fall in “Aggregate Supply”.

The net impact will be that price level rises, and equilibrium level of national income remains uncertain.

This is why D will be the answer.

23-B:

A: A decrease in income taxes will increase the disposable income and since it will increase consumption expenditure, Aggregate demand will increase, making this incorrect.

B: This is correct because a decrease in price of goods will **not** cause the Aggregate demand curve to shift rightwards. It will instead bring a movement along the AD curve.

C: An increase in nominal wages would increase purchasing power and in turn consumption, stimulating Aggregate demand.

D: An increase in money supply would increase the quantity of money in circulation, thereby causing a decrease in interest rates, which will reduce savings, and increase consumption as a proportion of household disposable income, thereby increasing Aggregate demand.

24-A;

A- current account may not necessarily comprise of the balancing item. Balancing item may arise on either the current account or capital and financial account, depending upon where the difference is, thus making this correct.

B- A current account includes exports of services, as it forms a part of "Balance of trade in services"

C- A current account also includes import of goods , as it forms a part of "Balance of trade in goods"

D- A current account also includes " primary incomes", that is, interest received from investment overseas.

25-D:

A; A rise in prices of exports will make exports uncompetitive leading to a contraction in international quantity demanded by a relatively higher percentage when the demand for them is elastic , leading to a fall in export revenues relative to import expenditures which will rise as now imported goods appear relatively cheaper. This may cause Balance of Trade to worsen, **though the true impact depends upon price elasticity of demand.**

B- A; A rise in prices of exports will make exports uncompetitive , leading to a contraction in international quantity demanded by a relatively higher percentage when the demand for them is elastic ,leading to a fall in export revenues relative to import expenditures which will rise as now imported goods appear relatively cheaper. This may cause Balance of Trade , which is a component of " **current account** " to worsen, though the true impact depends upon price elasticity of demand. **The current account also comprises of other components such as : primary incomes and secondary incomes.**

D- It can be said with certainty that a rise in prices of exported goods and a fall in prices of imported goods will cause the **terms of trade to improve (ratio of export prices to the ratio of import prices)**, thus making it correct.

Embargoes, export subsidies, and voluntary export restraints are all forms of protectionism, whereas, sales tax is not a form of protectionism, **since it is imposed on goods and services domestically**, thus making B correct.

The calculation below explains this.

- | | food | drink |
|---|------|-------|
| X | 10 | 2 |
| Y | 20 | 12 |

A X will continue to produce drink.

B Y will produce drink instead of food

C World drink production will rise.

D World food production will fall.

* Since it is a bilateral trade, X has a comparative advantage in drink and should produce drink.

* Lowest opp cost ratio in food. Y should produce food.

drink : hours

 $1:2$ $\pi \circ 1$
$$2K = 1$$
 $x = 0.5$

$0.1^x \text{ food} : 0.5 \text{ drink}$

* 1 food : 0.5 p

IF: 50^{0.1}

0.054 0.089

$$* 1 f = 0.08$$
$$* 1f \approx 1.16 \overline{0.05}$$

A: Deflationary policies imply contractionary policies and devaluation is not a contractionary monetary or a contractionary fiscal policy , thus making this incorrect.

B and C: expenditure reducing policies also represent contractionary policies, therefore neither is devaluation an expenditure reducing policy, nor is it a direct control (**direct controls involve price controls, and legislations such as : minimum wage**), thus making it incorrect.

D: Devaluation is an **expenditure switching policy** aimed to switch the expenditure of domestic consumers from imported goods to domestically manufactured goods by making imports more expensive, this is why this will be correct.

29-C

A and B: Budget deficit and surplus are part of fiscal policy, making this incorrect.

C: increasing the interest rate would reduce consumption(because savings increase), investment (because it raises costs of borrowing) and lead to appreciation (because FDI is attracted) increasing the likelihood of a Balance of Trade deficit, and it therefore acts as a contractionary monetary policy, reducing Aggregate demand , making this correct.

D: Increasing the money supply would have an expansionary effect on Aggregate demand as it reduces the interest rates.

30-C

A- Allowing the interest rate to fluctuate would make planning difficult , discouraging producers. And, increasing business taxation is a part of contractionary fiscal policy and not monetary policy.

B- Taxation and government spending (represented through “budget”)is not a part of monetary policy, whereas tariff is not a part of monetary policy; instead, it is an expenditure-switching policy.

C-increasing the money supply ,that would lower the interest rate ,would have an expansionary effect in terms of a rise in consumption, investment and Balance of Trade surplus(due to depreciation), stimulating Aggregate demand in times of global recession.

D- Decreasing money supply and increasing interest rate would have a contractionary effect on Aggregate demand.